



Time: 5 minutes

Outcome: Use Short-Run Firm Choice, Profit/Loss & Shutdown.

Difficulty: ●●○ Intermediate

Short-Run Firm Choice, Profit/Loss & Shutdown



THE CORE IDEA

Short-Run Firm Choice, Profit/Loss & Shutdown uses $MR = MC$, firm demand, ATC, and AVC to determine output, price, profit or loss, and short-run shutdown. The firm shuts down when price cannot cover variable cost. At the chosen output, price above ATC means profit, price below ATC means loss, and equality means zero economic profit.



HOW TO RECOGNIZE IT

- Use marginal revenue and rising marginal cost to choose the firm's output.
- Read price and average total cost at that output to determine profit or loss.
- Use average variable cost to determine whether the firm operates or shuts down in the short run.
- Keep output choice, profit measurement, and shutdown analysis as three distinct steps.

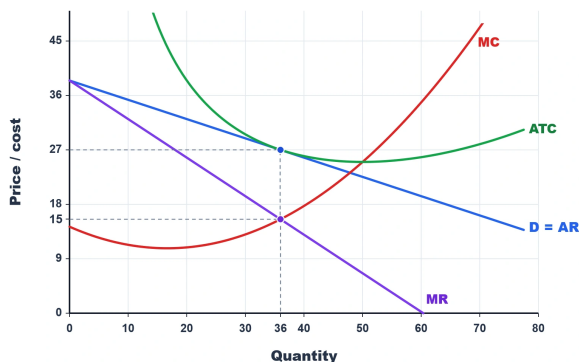


WATCH OUT

A common mistake is to misapply monopolistic competition rule. At the chosen output, price above ATC means profit, price below ATC means loss, and equality means zero economic profit.



WORKED EXAMPLE: SHORT-RUN FIRM DECISION



The firm chooses 36 units where $MR = MC$ at \$15, then charges \$27 on its demand curve. ATC is also \$27, so total revenue and total cost are both $\$27 \times 36 = \972 . Economic profit is zero, but $P > MC$ shows the outcome is not allocatively efficient.



CHECK YOURSELF

A firm has $P > MC$ but $P < ATC$. Which statement is correct?



READY?

Return to the game and master this concept.